BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Cases 25-E-0072 and 25-G-0073

May 2025

Prepared Redacted Testimony of:

Staff Shared Services Panel

Brian Fisher
Utility Engineering Specialist 3

Samantha Illenberg
Utility Engineering Specialist 1

Joban Preet
Utility Engineering Specialist 1

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Q. Would the members of the Staff Shared Services Panel, referred to as the Panel, please state your names, employer, and business addresses.

A. Our names are Brian Fisher, Samantha Illenberg, Joban Preet, and Jami Nafiul. We are employed by the New York State Department of Public Service, referred to in this testimony as the Department, located at Three Empire State Plaza, Albany, New York 12223, 90 Church Street, 4th floor, New York, New York 10007, and 125 East Bethpage Road, Plainview, New York 11803.

Q. Mr. Fisher, what is your position in the Department?

A. I am a Utility Engineering Specialist 3 in the Office of Rates and Tariffs.

Q. Please summarize your education and professional experience.

A. I received a Bachelor of Science degree in Civil Engineering from Clarkson University in 2006. I also received a Master of Science degree in Environmental Engineering from the University of Notre Dame in 2009 and a Ph.D. in Civil Engineering from Southern Methodist University in 2012. I began my employment with the

Department as a Junior Engineer in July 2012. While employed at the Department, I have prepared, analyzed, and reviewed reports and studies involving operating revenues, sales forecasts, operating and maintenance (O&M) expenses, embedded costs, revenue allocation and rate design. My current duties include the engineering analyses of electric, gas, steam and water utility rates, pricing, and tariff filings. In addition, I supervise engineers in the Downstate Rates and Tariffs section.

Q. Have you testified before the New York State Public Service Commission, referred to as the Commission, in other proceedings?

A. Yes, I have testified in numerous proceedings for Consolidated Edison Company of New York, Inc., referring to as Con Edison or the Company; Orange and Rockland Utilities, Inc.; Central Hudson Gas and Electric Corporation; Corning Natural Gas Corporation; The Brooklyn Union Gas Company d/b/a National Grid NY; and KeySpan Gas East Corp. d/b/a National Grid NY since 2013 covering topics that include capital expenditure review, depreciation, net plant model, sales

forecast, cost of service studies, revenue price out, revenue allocation, rate design, bill impacts and tariff changes.

Q. Ms. Illenberg, what is your position at the Department?

A. I am employed as a Utility Engineering Specialist 1 in the Downstate Rates and Tariffs section of the Office of Rates and Tariffs.

Q. Please briefly describe your educational background and professional experience.

A. I graduated from the State University of New York at Canton in 2015 with a bachelor's degree in Industrial Technologies Management. I joined the Department in 2019 as a Utility Engineering Specialist 1. I have worked on several aspects of utility ratemaking, including mainly reviews of water companies' rate cases, escrow accounts, and ownership and asset transfer petitions.

Q. Have you previously testified before the Commission?

A. Yes, I have previously testified in rate proceedings concerning Central Hudson Gas and Electric Corporation in Cases 24-E-0461, 24-G-0462, 23-E-418 and 23-G-0419; SUEZ Water New

York in Case 19-W-0168; and Veolia Water New York in Case 23-W-0111. My testimonies addressed, among other things, common capital expenditures including land and buildings, office equipment, tools, and transportation costs; I have also addressed O&M expenses.

Q. Mr. Preet what is your position at the Department?

A. I am a Utility Engineering Specialist 1 in the Downstate Rate and Tariffs section of the Office of Rates and Tariffs.

Q. Please briefly describe your educational background and professional experience.

A. I graduated from State University of New York Maritime College with a bachelor's degree in Facilities Engineering in 2022. I worked for Ameresco, Inc. providing consultation services in terms of completing energy efficiency audits, proposing projects to reduce energy consumption, and overseeing minor construction projects. In 2023, I accepted a position at Climatec, LLC as a Design Engineer tasked with designing network control architectures and stayed in that position until I began my employment within the

Department as a Utility Engineering Specialist 1 in September 2023.

Q. Please describe your duties in the Office of Rates and Tariffs.

A. My duties involve the engineering analysis of utility operations as they relate to the ratemaking process, as well as participating in various reviews of utility companies' activities.

Q. Have you previously testified before the Commission?

A. Yes. I have testified regarding gas revenue price-outs, rate design and revenue allocation in Case 24-G—0064 for Orange and Rockland Utilities, Inc. and in Case 24-G-0447 for Corning Natural Gas Corporation.

Q. Jami Nafiul, what is your position at the Department?

A. I am employed as a Utility Engineering Specialist 1 in the Energy System Planning and Performance section at the Long Island Office of the Department.

Q. Please briefly describe your educational background and professional experience.

A. I graduated from State University of New York Stony Brook in 2018 with a Bachelor of Engineering in Chemical and Molecular Engineering and a Bachelor of Science in Business Management. In 2020, I earned a Master's in Finance from Baruch College. I joined the Department as an Assistant Engineer in 2021, where I have worked on the engineering and budgetary review of the Long Island Power Authority and PSEG Long Island's operation of the electrical system network. My responsibilities have included monitoring utility outages to assess performance against benchmarking metrics, inspecting and auditing electric utility facilities to ensure compliance with the Commission's Electric Safety Standards, and reviewing specific capital investments to determine the necessity and cost of programs and projects aimed at improving or maintaining grid reliability and resiliency.

Q. Have you previously testified before the Commission?

A. I have not testified before the Commission in any prior cases.

OVERVIEW

Q. What is the purpose of the Panel's testimony in these proceedings?

A. The purpose of our testimony is to address Con Edison's proposed shared services budget. Specifically, we are recommending adjustments to the spending levels of the Company's proposed shared service programs, which will impact the net plant-in-service balance and depreciation expense. Our adjustments reflect the level of capital and operation and maintenance additions the Company has justified based on its testimony and responses to requests for information during the discovery phase of these proceedings.

Q. In your testimony, will you refer to, or otherwise rely upon, any information produced during the discovery phase of these proceedings?

A. Yes, we will refer to, and have relied upon, several responses to information requests. We have provided these responses in Exhibit___(SSSP-1).

Q. Are you sponsoring any other exhibits?

A. Yes, we are also sponsoring Exhibit___(SSSP-2), which contains a project-by-project comparison

of our recommended budget and the Company's proposed budget for the programs and projects within the shared services budget for which we have adjustments.

Q. What are Con Edison's shared services budget categories?

A. Con Edison's shared service budget categories are: (1) General Equipment; (2) Human Resources; (3) Learning and Inclusion or L&I; (4) Facilities and Field Services; (5) Corporate Affairs; (6) Supply Chain; (7) Research and Development; (8) Emergency Preparedness; (9) Environment, Health and Safety; (10) Strategic Planning; and (11) Law Department.

Q. Please explain the scope of the Panel's review of the proposed shared service programs and projects addressed in this testimony.

A. We reviewed and are testifying to a level of shared service capital expenditures and O&M spending for calendar year 2026 (2026). We also reviewed and are prepared to make capital expenditure recommendations concerning calendar year 2027 (2027), and calendar year 2028 (2028) in the event there is a multi-year settlement.

Q. What methods did you use to perform your review?

A. As part of our review, we examined the Company's proposed shared services capital expenditure proposal overall, as well as by category and project by project. We compared the Company's historical budgets and actual expenditures to track how spending has changed to determine whether the cost estimates are reasonable when compared to historical costs. In instances where the cost estimates deviated from historical costs, we assessed whether the Company provided adequate justification and used reasonable assumptions.

Q. Did the Panel review other items besides cost estimates for the shared service projects and programs?

A. Yes. We reviewed previous proposals made by the Company in prior rate proceedings and the Company's historical performance in achieving its proposed project schedules at the forecasted costs. We considered whether the Company's proposed projects and programs are necessary to provide safe and reliable service at just and reasonable rates.

Q. Did you take any other steps besides reviewing these documents?

A. Yes. We held several meetings with Company personnel to discuss the programs and projects. We also issued information requests to gain a better understanding of the Company's proposed projects and forecasted spending.

Q. What level of shared services expenditures does Con Edison propose?

A. Con Edison's Exhibit___(SSP-1), page 1 of 1, presents proposed capital expenditure levels of $474.5 million in 2026, $611.6 million in 2027, and $650.8 million in 2028.

Q. What level of shared services capital expenditure adjustments does the Panel recommend?

A. We recommend adjustments to a number of shared services capital projects that total decreases of $124.1 million in 2026, $246.3 million in 2027, and $235.8 million in 2028. We further recommend a decrease in O&M expense in 2026 of $12.843 million. We provide a summary of the capital expenditure adjustments in Exhibit___(SSSP-2), which contains a comparison

of the Company's versus Staff's shared services capital expenditures for 2026, 2027 and 2028 and a summary of the non-labor O&M expense adjustments for 2026 in Exhibit___(SSSP-3).

INFLATION

Q. Do you have any overall comments that generally apply to your testimony as a whole?

A. Yes, we would like to briefly touch on inflation factors. In any instance where inflation is part of a project or program budget, we rely on inflation factors based on Blue Chip Economic Indicators forecast of the Gross Domestic Product Price Index as described in Staff Witness Daniel S. Gadomski's initial testimony. While there may be some other relevant time periods, we mostly use or rely on the inflation factors of 18.832 percent for calendar year 2020 to calendar year 2024, 13.663 percent for calendar year 2021 to calendar year 2024, 6.086 percent for calendar year 2022 to calendar year 2024, 2.415 percent for calendar year 2023 to calendar year 2024, and then 5.969 percent for calendar year 2024 to calendar year 2026, 2.4 percent for calendar year 2026 to calendar year

2027 and 2.2 percent for calendar year 2027 to calendar year 2028.

RECOMMENDED ADJUSTMENTS

XM-1 OFFICE FURNITURE AND EQUIPMENT

Q. What is the Company's proposed XM-1 Office Furniture and Equipment project?

A. As described in Exhibit___(SSP-4), on page 1, the XM-1 Office Furniture and Equipment project, or General Equipment project, is the portion of the capital budget for the purchase of general office furniture, business machines, modular office partitions, carpeting, drafting room equipment, safes, security containers, bookcases, cabinets, window air conditioners, and flooring in order to safeguard life, health, property, and public welfare while complying with State and local building codes.

Q. What is the Company's capital expenditure proposal for XM-1 General Equipment?

A. The Company proposes $3.000 million in 2026, $3.000 million in 2027, and $2.500 million in 2028.

Q. How did the Company develop its budgets?

A. According to Exhibit___(SSP-4), page 3, the

Company based its budget estimate on the need for replacement furniture in future years, the need for additional furniture and equipment due to projected workforce growth, and its historical expenditures with current cost projections based on today's market value and the projected cost over the next five years. The high-level overview provided in Exhibit___(SSP-4) lacked specific detail, quantity, and unit cost information. In response to DPS-801, the Company provided a detailed breakdown that supports its budgets based on items such as desks, chairs, and workstations and the approximate cost for low, high, and average replacement cycles as well as additional costs due to incremental full-time employees (FTE) that the Company requested in these proceedings.

Q. Do you agree with the Company's proposed methodology for the XM-1 General Equipment program?

A. No, we do not. We calculated a recommended budget by using the calculation formula provided by the Company in response to DPS-801. Our

adjustment is based on the Company proposed 400 incremental FTEs in 2026, 400 incremental FTEs in 2027, and 300 incremental FTEs in 2028. Taking into account the adjustments made by all the Staff Panels with regards to FTEs, for purposes of the formula calculation, we reduced the number of FTEs by half in each year, resulting in 200 FTEs in 2026, 200 FTEs in 2027, and 150 FTEs in 2028. We also adjusted the total cost per year to be based on the average of $1.600 million from the Low Ask for FTE and Annual Replacement Cost, of $1.245 million, and the High Ask for FTE and Annual Replacement Cost, of $1.955 million.

Q. What adjustment does the Panel recommend for XM-1 General Equipment?

A. We recommend capital expenditures for XM-1 General Equipment of $1.600 million in 2026, $1.600 million in 2027, and $1.346 million in 2028, which is a downward capital adjustment of $1.400 million in 2026, $1.400 million in 2027, and $1.154 million in 2028.

XM-3 STORES EQUIPMENT

Q. What is the Company's proposed XM-3 Stores

Equipment project?

A. As described in Exhibit___(SSP-4), page 4, XM-3 Stores Equipment is the part of the capital budget dedicated to the purchase of storeroom related operational equipment including racking, shelving, storage bins, strapping/wrapping equipment, pipe racks, and pallet racks. These items are replaced periodically when they are found to be in unsafe operating condition and beyond economical repair or if procedures or specifications are revised. Additional equipment may be purchased to increase operation efficacy within this budget, which also includes shelving systems, wrapping and banding machines, cable reels, and upgrades to existing equipment.

Q. What is the Company's capital expenditure proposal for XM-3 Stores Equipment project?

A. The Company proposes to spend $2.440 million in 2026, $1.961 million in 2027, and $1.334 million in 2028.

Q. How did the Company develop those budgets?

A. According to Exhibit___(SSP-4), page 5, the Company developed these budgets based on the projected 2026 budget of $1.999 million and

increasing it by 3.5 percent each year thereafter. According to the Company's response to DPS-710, question 3, the 3.5 percent markup is applied as an inflation factor.

Q. Do you agree with the Company's methodology to determine the XM-3 Stores Equipment program budget?

A. No, we do not. We calculated a five-year historical average, adjusted by inflation, which was $0.932 million. This is based on inflating 2020 through 2023 actuals to the 2024 dollar value using Staff's inflation factors as supported by the testimony of Staff Witness Gadomski, and then, along with the 2024 actual, calculating the five-year average. We then apply inflation factors to the average to get our 2026, 2027, and 2028 recommended budgets. This approach is reasonable for a category such as stores equipment that tends to have continuous, similar year over year budget needs, especially considering the lack of detailed support provided by the Company to justify its proposed spending levels.

Q. What is the Panel's recommended adjustment for

XM-3 Stores Equipment?

A. We recommend capital expenditures of $0.984 million in 2026, $1.007 million in 2027, and $1.029 million in 2028, which is a downward adjustment of $1.456 million in 2026, $0.954 million in 2027, and $0.305 million in 2028.

XM-5/XM-15 LAB AND TEST EQUIPMENT

Q. What is the Company's proposed XM-5/XM-15 Lab and Test Equipment program?

A. Exhibit___(SSP-4) on page 10, explains the XM-5/15 Lab and Test Equipment program is for purchasing and replacing portable electronic measurement instrumentation such as volt meters, ammeters, and gas testers. The instruments purchased under this program are used to monitor the Company's electric, gas, and steam systems as well as safeguard employee safety.

Q. What is the Company's capital expenditure proposal for XM-5/XM-15 Lab and Test Equipment?

A. The Company proposes capital expenditures of $7.178 million in 2026, $7.226 million in 2027, and $7.244 million in 2028.

Q. How did the Company develop those budgets?

A. According to Exhibit___(SSP-4), page 12, the

budget for this program was developed based on the actual historical expenditures from 2021 to 2023, includes an escalation factor of 12.5 percent for cost trend, and an additional 3.5 percent increase to reflect expected inflation.

Q. Do you agree with the Company's methodology to determine the proposed budget for XM-5/XM-15 Lab and Test Equipment?

A. No, we do not. We calculated an inflated, five-year historical average, which was $6.250 million. This is based on inflating each year, 2020 through 2023 actuals, to 2024 dollars and then along with the 2024 forecast, which is already assumed to be in 2024 dollars, calculating the five-year average. This five-year inflated average was then inflated to get our 2026, 2027 and 2028 recommended budget. This approach is reasonable for a category such as XM-5/XM-15 considering that the majority of the equipment purchased under this category are replacement tools that the Company continuously purchases in similar amounts year over year.

Q. What adjustment does the Panel recommend for the XM-5/XM-15 Lab and Test Equipment program?

A. We recommend a total adjustment of $0.419 million in 2026, $0.305 million in 2027 and $0.171 million in 2028, which results in recommended capital expenditures of $6.759 million in 2026, $6.921 million in 2027, and $7.073 million in 2028.

XM-6 TOOLS AND WORK EQUIPMENT

Q. What is the Company's proposed XM-6 Tools and Work Equipment program?

A. As described in Exhibit___(SSP-4), page 14, XM-6 Tools and Work Equipment is the Company's program for purchasing and replacing tools and equipment used in general construction and repair. The devices purchased under this program are used to repair and maintain the Company's electric, gas, and steam systems.

Q. What is the Company's capital expenditure proposal for XM-6 Tools and Work Equipment?

A. The Company proposes capital expenditures of $10.012 million in 2026, $14.014 million in 2027, and $10.652 million in 2028.

Q. How did the Company develop those budgets?

A. Exhibit___(SSP-4), page 15, explains the budget for this program was developed based on

historical expenditures and anticipated needs for ongoing modernization and expansion, such as incremental FTEs, within the Company. Historical expenditures total $20.166 million from 2021 through 2023. The Company also used an escalation factor of 12.5 percent based on observed cost trends from 2021 through 2023 and, additionally, a 3.5 percent increase in 2026 and beyond to reflect expected inflation.

Q. Do you agree with the Company's methodology used to determine the proposed budget for XM-6 Tools and Work Equipment?

A. No, we do not. We calculated an inflated, five-year historical average, which was $6.464 million. This is based on inflating 2020 through 2023 actuals to 2024 and then along with the 2024 forecast, calculating the five-year average. This average was then inflated to get our 2026, 2027 and 2028 recommended budget. This approach is reasonable for a category such as XM-6 since the equipment purchased under this category are replacement tools that the Company needs to complete day to day operations. Historical data also supports the determination

of expenditure levels in this category as the costs are relatively consistent year over. Further, Staff in this proceeding supports significant reductions to the Company's expansion and incremental FTE request, which further supports using the inflated historical average as a basis.

Q. What is the Panel's recommended adjustment for the XM-6 Tools and Work Equipment program?

A. We recommend a total adjustment of $3.023 million in 2026, $6.857 million in 2027 and $3.338 million in 2028, which results in recommended capital expenditure of $6.989 million in 2026, $7.157 million in 2027 and $7.314 million in 2028.

XM-2 VEHICLE REPLACEMENT

Q. What is the Company's proposed XM-2 Vehicle Replacement program?

A. Exhibit___(SSP-4), page 20, explains the XM-2 Vehicle Replacement program is for purchasing and replacing all motorized vehicles such as cars, trucks, trailers and forklifts. The vehicles purchased under this program are used to repair and maintain the Company's electric,

gas, and steam systems.

Q. What level of capital expenditures does the Company propose for its XM-2 Vehicle Replacement program?

A. The Company proposes capital expenditures of $158.198 million in 2026, $203.056 million in 2027, and $274.885 million in 2028.

Q. How did the Company develop those budgets?

A. According to DPS-747, the budget for this program was developed based on the Company's vehicle lifecycle analysis with vehicles budgeted for replacement based on several considerations such as safety and operational risk reduction. In addition to vehicle replacements, the proposed capital expenditure contains funding associated with fleet additions and replacement of aging portable generators. The Company provides a breakdown of the cost for 2026 through 2028 for those three categories: Vehicle Replacements, Fleet Additions and Emergency Generators on page 6 of Exhibit___(SSP-4-UpD).

Q. What adjustment does the Panel recommend for the XM-2 Vehicle Replacement program?

A. We recommend a total adjustment of $60.690 million in 2026, $91.482 million in 2027 and $159.778 million in 2028, which results in recommended capital expenditures of $97.654 million in 2026, $111.583 million in 2027 and $115.816 million in 2028. This is based on adjustments to each of the three categories.

Q. Starting with the vehicle replacements, how did you determine your level of spending for that category?

A. We first looked at the Company's budget, which for this category is $122.917 million, $144.695 million, $154.688 million in 2026, 2027 and 2028, respectively. This budget category alone is an increase over the recent highest capital expenditures, as provided in Exhibit___(SSP-4), page 25, for the entire XM-2 Vehicle Replacement Program, which was the 2024 forecast of $88.663 million, or about an increase of 39 percent, 63 percent and 74 percent. Further, the Company in response to DPS-747 confirms its request of 2,502 replacement vehicle in 2026 through 2028, which is more than one-third of its vehicle inventory and more than half of its on-road,

self-propelled fleet. This indicates to us that the Company is proposing to replace vehicles faster than previously. Historical spending following the COVID-19 pandemic in 2021 and 2022 was noticeably lower, but Con Edison has not supported such an uptick in replacement at this time due to increasing maintenance costs. Therefore, we started by taking a five-year inflated average of the entire XM-2 program, or $67.557 million, and then inflated the $67.557 million to 2026, 2027, and 2028. We consider this the baseline replacement cost, and if anything, may be slightly overstated given its calculated from the entire vehicle budget, not just replacement vehicles. We then take the difference between this baseline each year and the Company replacement request, and then apply a two-thirds adjustment, which accommodates the Company's need to increase its vehicle replacement schedule while balancing affordability concerns such that the Company would achieve its replacement goals but over a period three times longer. This result in a vehicle replacement capital spending level of

$88.519 million, $96.920 million, and $101.322 million.

Q. What is your adjustment to the fleet additions?

A. The fleet additions, which is driven primarily by the incremental employee request, is adjusted based on a review of the fleet additions, by organization, or "ORG", as shown in DPS-530, Attachment 3. We adopt the recommended adjustments to the Construction, Electric Ops, and System and Transmission described in the Staff Electric Infrastructure and Operations Panel (SEIOP). We also adopt the recommended adjustments to gas, to cut the 14 requested Transit Vans in 2026, related to the reduction of all 58 incremental gas FTEs as recommended by the Staff Gas Safety Panel (SGSP). In addition, we make recommendations to Stores and Environmental Health and Safety (EH&S) organizational grouping. Stores requested a total of 16 vehicles in 2026, seven in 2027, and two in 2028, which are predominantly heavy duty and equipment types. We recommend removing funding for eight of the vehicles in 2026, which include a 7.5-ton, 6.5-ton, 2-ton, 2.5-ton,

10.5-ton, 3-ton and two 4-ton. We do recommend allowing funding for a 650Y Tractor Yard Switcher, 13-ton, 7.5-ton, 2.5-ton, two 3-ton, minivan, and a 4-ton. This results in a downward adjustment for 2026 of $1.185 million. In 2027, we recommend removing funding for one of the two requested 2-ton standups, one of the two 3-ton, and one of the three 4-ton, which results in a downward adjustment of $0.314 million. In 2028, we recommend removing the $0.500 million 650Y Tractor Yard Switcher, noting that we are recommending funding to purchase one in 2026 and in 2028 we further recommend allowing the purchase of a 10.5-ton. We recommend these adjustments due to the reduction in the FTE request and capital requests supported across all the Staff panels' testimony. For the EH&S organization we recommend removing 10 of the 17 light duty supervisor vehicles, which is a total downward adjustment of $0.560 million. This adjustment is supported by recommended cuts to the EH&S FTE request and lack of justification for that many additional vehicles for supervisory EH&S

employees.

Q. What about your adjustment to the generators?

A. We recommend no new generators in 2026, but recommend allowing three of the requested five in 2027 and 2028 each, for a recommended capital expenditure level of $0.000 million in 2026, $10.500 million in 2027 and $10.500 million in 2028. Based on the response to DPS-747, the Company has indicated that maintenance expenses are not significant yet, however, many of the generators are nearing end of life and have higher emissions than newer generators. Therefore, we agree that it is reasonable for the Company to purchase new generators to replace aging generators, but at a scaled back rate that compromises between affordability and replacing older, higher emission generators.

Q. Do you have any other adjustments related to the XM-2 Vehicle Replacement program?

A. Yes, as described in Exhibit___(SSP-4), page 21, the Company also proposed 16 incremental FTEs to address the growing work needed to support automotive engineering. We are recommending cutting 12 FTEs, or more specifically, nine

Senior Specialists to support automotive engineering and three Mechanics, which better reflects the support the Company will need given our recommended adjustments in incremental vehicles we just described.

LEARNING & INCLUSION FTEs

Q. What is the purpose of the proposed Learning & Inclusion FTEs?

A. The Company states on page 30 of Exhibit___(SSP-4) that this investment, driven by an increase in hiring volume, is to support the expanded capabilities and capacity of two departments in the Company's Learning & Inclusion organization: The Learning Center and the Talent Acquisition department.

Q. What does the Company propose to do under this program?

A. The Company proposes to hire 16 Talent Management Sr. Specialist talent advisor contractors and 10 Sr. Instructor and Instructor FTEs for the Learning Center in 2025. Additionally, in 2026, the Company proposes to hire six more Sr. Instructor and Instructor FTEs for the Learning Center. The proposed FTEs and

contractor labor results in an incremental program increase of $5.269 million in 2026.

Q. What do you recommend regarding these FTEs?

A. We recommend an adjustment to five incremental Learning Center instructors to be hired in 2026 since Staff is cutting down significantly on the incremental FTE request, and prior to 2026, the Company already plans to hire 10 Sr. Instructor and Instructor FTEs, and thus does not need the additional incremental FTEs for the Learning Center.

SHERMAN CREEK SERVICE CENTER

Q. What is the Company's proposed Sherman Creek Service Center project?

A. Exhibit___(SSP-4) on page 34, explains that the Sherman Creek Service Center is the Company's proposal to build a 215,000 square foot service center on Company owned property in the Inwood section of Northern Manhattan. The new service center is expected to cost $221.000 million, and the Company expects to begin construction in 2027 with the expected completion date set for late 2029. The proposed service center would address congestion issues at the existing

service center that serves Manhattan and the Bronx, as well as support the gas main replacement program.

Q. What is the Company's proposed capital expenditure for the Sherman Creek Service Center project?

A. The Company proposes capital expenditures of $15.000 million in 2026, $70.772 million in 2027, and $92.728 million in 2028.

Q. How did the Company develop those budgets?

A. Exhibit___(SSP-4), page 39, explains the budget for this new service center was increased from $155.000 million to $221.000 million based on updated cost estimates that were submitted by the low-bid design-builder for the design and construction of the facility, inclusion of additional items in the work scope and escalation in material and labor costs due to supply chain constraints.

Q. Do you agree with the Company's methodology used to determine the budget request for the Sherman Creek Service Center project?

A. No, we do not. We recommend removing **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END**

CONFIDENTIAL INFORMATION from funding in 2026, which is the full contingency amount associated with design drawings, as the Company stated the drawings are on track to be completed in the third quarter of 2026. In its response to DPS-622, the Company states it does not expect any delays since the drawings are already approximately 30 percent complete and it does not expect any changes to project scope that would require the drawings to be revised. A contingency is typically included in the design drawings to serve as backup funding in case there is a significant increase in cost of the drawings. Based on the Company's response to DPS-622, we see no need for a contingency for this part of the project that is already well under way. The Company stated it does not expect a change to the project scope or a delay in receiving the drawings, which would potentially increase the cost of the drawings and require the Company to utilize the funds associated with the contingency. We also recommend decreasing the capital request in 2027 that is associated with the construction of the

service center. In its response to DPS-622, the Company provided an estimated project cashflow chart that shows the estimated construction timeline for the new facility with major milestones. Based on the chart, the Company expects to start construction of the facility in **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** The Company stated it plans to issue a purchase order (PO) in the third quarter of 2027 for the purpose of soliciting bids and selecting a qualified general contractor to commence the construction of the facility. Based on this information, we assess that the construction of the facility will likely be delayed until at least the third quarter of 2027 since a PO is not planned to be issued until then for a general contractor that typically performs the main construction activities. Therefore, we recommend pushing out the construction start date to the third quarter of 2027, which is a downward adjustment of **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** Due to pushing out the construction start date, the schedule in

2028 is also changed, and results in a downward adjustment of **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** to the funding proposed in 2028.

Q. What is the total adjustment the Panel is recommending for the Sherman Creek Service Center project?

A. We recommend a total downward adjustment of **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** in 2026, **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** in 2027 and **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** in 2028, which results in recommended capital expenditures of **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** in 2026, **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** in 2027 and **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** in 2028.

WORTH STREET SERVICE CENTER

Q. What is the Company's proposed Worth Street

Service Center project?

A. Exhibit___(SSP-4) on page 41, explains that the Worth Street Service Center project is the Company's proposal to build a new service center in place of renovating the existing service center that is located on Company owned property at 267 Sawmill River Road, Yonkers, New York. Initially, the Company planned on renovating the existing building but opted to build a new service center due to expected increase in renovation cost due to widespread mold and the known presence of asbestos throughout the building. Furthermore, the Company intends to build the new service center outside of the Saw Mill River flood zone and upgrade and relocate the existing fuel station to improve site traffic flow.

Q. What is the Company's proposed capital expenditure for the Worth Street Service Center?

A. The Company proposes capital expenditures of $20.000 million in 2026, $30.000 million in 2027, and $26.300 million in 2028.

Q. How did the Company develop those budgets?

A. Exhibit___(SSP-4) page 44, contains the

Company's whitepaper for the proposed Worth Street Service Center project but the whitepaper lacked details on how the Company developed the budget. In response to DPS-819, the Company provided a master plan that contains the detailed construction estimate and highlights the nature of the work to be completed.

Q. Do you agree with the Company's methodology that was used to determine the budget request for the Worth Street Service Center project?

A. No, we do not. In its response to DPS-819, the Company provided an estimated project timeline that highlights major milestones and estimated cashflow projection. We reviewed the milestone schedule, which shows that the Company expects to complete all design documents by the fourth quarter of 2026 and begin construction of the new service center by **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** We also reviewed the estimated cashflow expenditure timeline, which shows that the Company expects to spend approximately **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** towards the

construction of **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** We recommend pushing the Company's proposed **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** for construction funds associated with the **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** since the design drawings are not expected to be complete until the fourth quarter of 2026, which typically serve as a guide for all construction activities. We recommend pushing out **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** of the Company's proposed expenditures for **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** construction activities due to the delayed construction in **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** Additionally, we recommend removing **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** of funding in **BEGIN**

CONFIDENTIAL INFORMATION< [redacted] **>END CONFIDENTIAL INFORMATION,** which is all of the **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** As stated by the Company in DPS-819, the design documents are expected to be complete in the fourth quarter of 2026, which indicates that the Company will have full design drawings in 2026 and thus we do not see a need for a **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** Finally, due to the delayed construction timeline, we recommend pushing out **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** of the Company's proposed expenditures for **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** construction activities due to the delayed construction schedule. Additionally, we also recommend removing **BEGIN CONFIDENTIAL INFORMATION<** [redacted]

[redacted] **>END CONFIDENTIAL INFORMATION.** As stated by the Company in DPS-819, the design documents are expected to be complete in the fourth quarter of 2026, which indicates that the Company will have full design drawings in 2026 and thus we do not see a need for a **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.**

Q. What adjustment does the Panel recommend for the Worth Street Service Center project?

A. We recommend a total adjustment of **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** in 2026, **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** in 2027 and **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** in 2028, which results in recommended capital expenditures of $10.700 million in 2026, $9.260 million in 2027 and $5.598 million in 2028.

30 FLATBUSH AVE – LEASE EXIT STRATEGY

Q. What is the Company's proposed 30 Flatbush Ave - Lease Exit Strategy project?

A. As described in the Company's Exhibit___(SSP-4), on page 46, the 30 Flatbush Ave - Lease Exit Strategy project is comprised of the work still required to be able to exit the leased premises at 30 Flatbush Avenue in Brooklyn in advance of the lease expiration in November 2027. The project scope includes relocation of the regional electric control center, migration of customer operations call center to a virtual operating model, and alterations and upgrades to Company owned facilities to receive the 30 Flatbush employees.

Q. What is the Company's capital expenditure proposal for 30 Flatbush Ave - Lease Exit Strategy project?

A. The Company proposes to spend $47.000 million in 2026 and $15.000 million in 2027.

Q. How did the Company develop those budgets?

A. According to the Company's response to DPS-681, it developed these budgets based on contractor estimates.

Q. What adjustment does the Panel recommend for this project capital budget?

A. We reviewed the project estimates provided by

the Company in DPS-681, Attachment 2. The Company used a five percent contingency factor on two of the provided project estimates, for 3rd Ave Yard Main Building Reconfiguration and 4 Irving Place First Floor Interior Renovations, and a 15 percent contingency factor on the other project estimate for the Astoria Building 136. In response to DPS-681, the Company stated that these contingency factors are intended to safeguard the project from potential fluctuations, including complexity of work and unexpected cost, fluctuations in prices of materials and labor, supply chain disruptions, and other economic factors. While we agree with the Company on contingency factors of five percent, we recommend keeping contingencies at five percent for all projects within this category as the Company stated in DPS-681 that the higher contingency was to account for inflation and market condition changes. These projects all fall within a three-year time span and current inflation rates are around five percent. The Company did not provide any further reasoning or justification as to why a

15 percent contingency is needed on one of the projects. Therefore, we recommend applying a consistent contingency factor of five percent for each project. The estimates the Company provided for the total project cost totaled **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION,** which was to be broken out over years 2023 to 2028 and included the $47.000 million budget in 2027 and $15.000 million budget in 2028. However, with the adjusted contingency, we recommend that this total be lowered to **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** We then added the actual 2023 spending of $0.125 million and actual 2024 spending of $1.651 million to our adjusted engineering estimates to get a total project cost recommended by the Panel of **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION,** which differed from the Company's provided estimates of **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION,** as well as the Company's Exhibit___(SSP-4) proposal of $88.292

million by **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** We allocated the **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** adjustment to 2026 and 2027 proportionally to the level of capital spending proposed. Therefore, we recommend a total adjustment of $8.399 million in 2026 and $2.681 million in 2027, which results in recommended capital expenditures of $38.601 million in 2026 and $12.319 million in 2027.

Q. What is the Company's proposal for O&M expense for 30 Flatbush Ave - Lease Exit Strategy project?

A. The Company proposes to spend $7.250 million in 2026 and $7.000 million in 2027.

Q. How did the Company develop those budgets?

A. According to the Company's response to DPS-681, it developed these budgets based on the cost of maintaining operations such as contract services, labor, and other non-project cost associated with maintaining day to day operations while still at Flatbush prior to the Company's exit.

Q. What adjustment does the Panel recommend for the 30 Flatbush Ave - Lease Exit Strategy project operations and maintenance cost?

A. We adjusted the proposed O&M budget for this project based on the estimates provided in DPS-681, Attachment 1. In the response, the Company provided a total contract service budget of $2.208 million, a total labor and materials budget of $1.485 million, and a total other budget of $0.859 million in 2026, altogether totaling $4.552 million. The Company also provided a total contract service budget of $2.319 million, a total labor and materials budget of $1.560 million, and a total other budget of $0.902 million in 2027 for a total O&M budget of $4.780 million in 2027. The remainder of the Company's requested of O&M budget of $7.250 million in 2026 and $7.000 million in 2027, as shown in Exhibit___(SSP-1), was not supported. Therefore, we recommend a total decrease in O&M expense of $2.698 million in 2026, which results in recommended O&M expense of $4.552 million in 2026.

FACILITIES CRITICAL INFRASTRUCTURE PROGRAM

Q. What is the Company's proposed Facilities Critical Infrastructure Short Term Priority/Programs?

A. As described in Exhibit___(SSP-4), on page 52, the Facilities Critical Infrastructure Short Term Priority/Programs consist of funding for the maintenance and improvement of the overall conditions of the buildings and yards. As provided as part of the Company's response to DPS-699, the general timeline of these short-term projects is engineering work to be done from 2025 to 2026 with construction occurring from 2026 to 2029. This program was designed to address the efficiency improvements, equipment modernization and upgrades, and projects that are evaluated and prioritized based on facility assessments. These projects can include but are not limited to paving/resurfacing; drainage; heating, ventilation and air conditioning systems nearing the end of their expected useful life; bathroom and locker room renovations; sidewalk replacements; and other equipment upgrades.

Q. What is the Company's capital expenditure

proposal for Facilities Critical Infrastructure Short Term Priority/Programs?

A. The Company proposes to spend $17.000 million in 2026, $25.000 million in 2027, and $25.000 million in 2028.

Q. How did the Company develop those budgets?

A. According to the Company's response to DPS-699, it developed these budgets based on historical expenditures to determine a base level request.

Q. What adjustment does the Panel recommend for the capital expenditure budget for Facilities Critical Infrastructure Short Term Priority/Programs?

A. We agree with using historical spending to determine the overall budget cost. However, the Panel started with a five-year historical average, adjusted by inflation, which was $15.026 million. This is based on inflating 2020 through 2023 actuals to the 2024 dollar value and then, along with the 2024 actual, calculating the five-year average. We then applied Staff's inflation factor to this average to get our 2026, 2027 and 2028 recommended budgets. This methodology, which we use for

several other budget items, is more appropriate than the Company's because we base it on actual historical information and include Staff's inflation factors to properly estimate the budget. As a result, we recommend a total adjustment of $1.137 million in 2026, $8.757 million in 2027, and $8.399 million in 2028, representing a recommended capital expenditure of $15.863 million in 2026, $16.143 million in 2027, and $16.601 million in 2028.

Q. What is the Company's O&M expense proposal for Facilities Critical Infrastructure Short Term Priority/Programs?

A. The Company proposes to spend $2.160 million in 2026, $2.160 million in 2027, and $2.160 million in 2028.

Q. How did the Company develop those budgets?

A. The Company did not detail how it arrived at these budgets in its Exhibit___(SSP-4), nor did it provide details in the Company's response to DPS-699.

Q. What adjustment does the Panel recommend for the O&M expense for Facilities Critical Infrastructure Short Term Priority/Programs?

A. Without details on how the Company calculated its proposed O&M expenses, we cannot support the Company's proposed budgets. Therefore, we recommend a budget of $0.800 million, which is the same as the O&M expense for this project in the Company's historic test year. This represents a downward capital adjustment of $1.360 million for 2026.

FACILITIES SERVICE CENTER AND STOREROOM MODERNIZATION

Q. What are the Company's proposed Facilities Service Center Renovation and Storeroom Modernization projects?

A. As described in the Company's Exhibit___(SSP-4), on page 56, the Facilities Service Center Renovation and Storeroom Modernization program supports annual renovation projects to maintain and improve overall conditions at Con Edison's buildings and yards. This program includes the renovation of various office space throughout service centers as well as work to optimize and modernize storeroom and warehouse space.

Q. What is the Company's capital expenditure proposal for the Facilities Service Center Renovation and Storeroom Modernization projects?

A. The Company proposes to spend $10.000 million in 2026, $10.000 million in 2027, and $10.000 million in 2028.

Q. How did the Company develop those budgets?

A. According to the Company's response to DPS-701, it developed these budgets based on historical renovation cost and the annual renovation target, which was split evenly over a three-year period from 2026 to 2028.

Q. What adjustment does the Panel recommend for the Facilities Service Center Renovation and Storeroom Modernization project?

A. We reviewed the historical project costs and determined the renovation unit cost, or average cost per square foot, to be $944 instead of the $1,000 the Company reported in DPS-701. We also reviewed Exhibit___(SSP-4) and found that the entire project was 32,887 square feet and was the only project proposed over the four-year period from 2026 to 2029. Dividing 32,887 square feet by four years is 8,219.25 square feet. Therefore, we recommend an annual renovation target of 8,219.25 square feet instead of the 10,000 square feet annual

renovation target provided by the Company in DPS-701. We then multiplied the annual renovation target of 8,219.25 square feet by the average renovation cost of $944 per square foot to get a total annual renovation cost of $7.757 million. Splitting the total annual renovation cost equally over the three-year period, we recommend a total adjustment of $2.243 million in 2026, $2.243 million in 2027, and $2.243 million in 2028, which results in recommended capital expenditures of $7.757 million in 2026, $7.757 million in 2027, and $7.757 million in 2028.

FACILITIES – ENERGY EFFICIENCY PROGRAM

Q. What are the Company's proposed Facilities Buildings and Yards - Energy Efficiency Program?

A. As described in the Company's Exhibit___(SSP-4), on page 65, the Facilities Buildings and Yards - Energy Efficiency Program is comprised of Clean Energy Measures, which were identified in the Clean Energy Reports to reduce the greenhouse gas emissions associated with energy usage in 19 Company-owned facilities. The specific projects in this budget are Local Law 97 2024 Greenhouse

Gas Limits (LL97 2024 GHG Limits), and Local Law 97 2030 Greenhouse Gas Limits (LL97 2030 GHG Limits), which aim to meet greenhouse gas limits outlined for 2024 and 2030, respectively.

Q. What is the Company's capital expenditure proposal for the Facilities Buildings and Yards - Energy Efficiency Program?

A. The Company proposes to spend $35.300 million in 2026, $65.000 million in 2027, and $65.000 million in 2028.

Q. How did the Company develop those budgets?

A. According to the Company's response to DPS-697, it developed these budgets based on contractor estimates provided as Attachment 1 to DPS-697.

Q. What adjustment does the Panel recommend for Facilities Buildings and Yards - Energy Efficiency Program?

A. We reviewed the cost estimates provided in Attachment 1 to the response to DPS-697 and disagreed with the 30 percent contingency requested by the Company on each estimate. The Company stated in its response to DPS-697 that the contingency cost was determined due to multiple projects happening simultaneously as

well as intricate project details that could fluctuate. We recommend lowering the 30 percent contingency factors to 5 percent to align with the contingency factor used in the 30 Flatbush Ave Lease Exit Strategy project. The 30 Flatbush Ave Lease Exit Strategy project occurs in a similar time frame and is also an intricate project, which includes multiple smaller project estimates that account for the total larger project budget and should have similar contingency factors. This change in contingency reduces the overall project cost from the $172.496 million proposed by the Company to $139.324 million, which is a total project reduction of $33.172 million. We allocated this adjustment over 2027 and 2028. Therefore, we recommend a total adjustment of $6.78 million in 2026, $12.500 million in 2027, and $12.500 million in 2028. This represents recommended capital expenditures of $28.512 million in 2026, $52.500 million in 2027, and $52.500 million in 2028.

THIRD AVE GARAGE – INFRASTRUCTURE IMPROVEMENTS

Q. What is the Company's proposed Third Ave Garage-

Infrastructure Improvements project?

A. The Company explains in Exhibit___(SSP-4), page 93, that its Third Avenue (Third Ave) vehicle repair facility has been closed indefinitely due to structural issues with the roof and associated building components since October 2019. All the vehicles that were assigned to the Third Ave facility have been reassigned to the Neptune Avenue vehicle facility, which is not equipped to handle an increase in the workload. The Company proposes to build a new 24,000 square foot vehicle repair facility on a different part of the Third Ave property owned by the Company. The proposed construction would have 18 drive-through repair bays, which would eliminate the necessity to back out, potentially causing vehicular or personal accidents.

Q. What is the Company's capital expenditure proposal for Third Ave Garage-Infrastructure Improvements project?

A. The Company proposes capital expenditures of $3.000 million in 2026, $15.000 million in 2027, and $6.000 million in 2028.

Q. How did the Company develop those budgets?

A. According to the response to DPS-521, the budget for this project was developed based on the Company's historical engineering information and cost data from similar past projects. The Company forecasts that the detailed estimate will be prepared after completion of engineering design.

Q. Do you agree with the Company's methodology used to determine the budget request for the Third Ave Garage-Infrastructure Improvements project?

A. No, we do not. We recommend removing approximately $4.400 million of funding in 2027 and $6.000 million of funding in 2028. In response to DPS-521, the Company provided a report that evaluated the current structural condition of the **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** and estimated repair costs to rehabilitate the structural issues as well as the feasibility of said repairs. According to the report, the estimated cost to repair the structural issues to all the facility to operate again is **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** per truss.

The garage has **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION,** which brings the total cost to repair equal to $10.600 million; $13.400 million lower than the Company's proposed budget to construct a new repair facility. We recommend that the funds be used to repair the existing Third Ave garage since the cost to perform repairs is $13.400 million lower than constructing a new facility and allows the Company to return the existing facility back into operation. Therefore, we recommend only $3.000 million in 2026 and $10.600 million in 2027, which provides the Company funding required to perform the repair.

Q. What adjustment does the Panel recommend for the Third Ave Garage-Infrastructure Improvements project?

A. We recommend a total adjustment of $4.400 million in 2027 and $6.000 million in 2028, which results in recommended capital expenditures of $3.000 million in 2026, $10.600 million in 2027, and $0.000 million in 2028.

COMPRESSED NATURAL GAS STATION DECOMMISSIONING

Q. What is the Company's proposed Compressed

Natural Gas (CNG) Station Decommissioning project?

A. In Exhibit___(SSP-4), on page 97, the Company states that it owns and maintains eight CNG stations. The Company uses these to provide CNG fuel for Company owned vehicles as well as public use. The Company also states that due to a shift towards electric vehicles in the transportation market, it has seen a sharp decline in CNG demand for internal and external use. Furthermore, the Company also states that five of the eight stations have been in service for 30 years and have experienced an increase to maintenance costs. As such, the Company proposes to decommission all eight CNG stations.

Q. What is the Company's capital expenditure proposal for CNG Station Decommissioning project?

A. The Company proposes capital expenditures of $1.020 million in 2026, $1.056 million in 2027, and $0.730 million in 2028.

Q. How did the Company develop those budgets?

A. According to the response to DPS-523, the budget for this project was developed based on the work

needed to decommission the stations and use the land for vehicle parking. The nature of work compromises of paving the surface, installing energy efficient lighting, and prepping the area to accommodate vehicle parking.

Q. Do you agree with the Company's methodology for determining these budgets?

A. No, we do not. As part of the Company's response to DPS-523, the Company provided a third-party report that evaluates the current condition of the stations and the recommended course of action. Based on the report, the following stations are at the end of their lifecycle and recommended for decommissioning: **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** The remainder of CNG stations – the **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** – can operate for another 10-20 years as the stations were upgraded in 2015, coupled with lower maintenance costs due to the previously mentioned decrease in CNG demand. As

such, we recommend decommissioning only the five CNG stations that are assessed to be at the end of their lifecycles, as the Company still owns 38 vehicles that use CNG as a fuel source. Therefore, we agree with the requested funding for decommissioning the **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** stations, but disagree with funding for the **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** This represents a reduction of $0.340 million in 2026, $0.000 million in 2027 and $0.730 million in 2028, which results in recommended capital expenditures of $0.680 million in 2026, $1.056 million in 2027 and $0.000 million in 2028.

TRANSPORTATION GARAGE MODERNIZATION

Q. What is the Company's proposed Transportation Garage Modernization project?

A. The Company explains in Exhibit___(SSP-4), page 101, it plans to modernize 12 Company-owned transportation garages to address their inadequacies stemming from being originally

designed to be used as storage. The upgrades include components such as vehicle lift systems, repairing the garage floor, installation of energy efficient lighting, and upgrading the fire suppression systems. The project scope is still being developed as the initial survey of the garages is expected to begin in January 2026.

Q. What is the Company's capital expenditure proposal for Transportation Garage Modernization project?

A. The Company proposes capital expenditures of $5.000 million in 2026, $5.000 million in 2027, and $5.000 million in 2028.

Q. How did the Company develop those budgets?

A. According to Exhibit___(SSP-4), on page 104, the budget for this project was developed based on consultant reports. The Company did not initially provide any specifics on how the budget was developed. In response to DPS-877, the Company provided a workpaper outlining the scope of the project, which the consultant used to develop the budget request.

Q. Do you agree with the Company's methodology used

to determine the budget request for the Transportation Garage Modernization project?

A. No, we do not. We recommend removing all the funding in 2026. For 2027 and 2028, we recommend removing **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.**

Q. Why does the Panel recommend removing all funding in 2026?

A. In response to DPS-877, the Company states that the internal assessment for all the garage is expected to begin in January 2026 with an estimated end date of December 2026. The Company intends to implement the recommendations of the assessment across all the garages between January 2027 and December 2028. This indicates to us that the Company will not be performing any work or making significant capital investment for this program since the internal assessment is not complete. Hence, we recommend removing all the funding for this project in 2026.

Q. Why does the Panel recommend removing half of the funding in 2027 and 2028?

A. In its response to DPS-877, the Company explains due to internal resource constraints, this project will be completed using outside vendors and contractors. The Company also provides a workpaper breaking down the budget estimates which is compromised of the following categories: **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** For 2027, the Company estimates to spend **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** For 2028, the Company estimates to spend **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** After reviewing the provided estimate, we are concerned with the lack of details on how the Company developed the cost estimates for **BEGIN CONFIDENTIAL**

INFORMATION< [redacted] **>END CONFIDENTIAL INFORMATION** in 2027 and 2028. For **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION,** the Company is being a charged a **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** which annually equates to **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** in 2027 and 2028 for receiving project management services. The Company also provided a supplemental attachment to DPS-877 which lists the **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** and brief high-level activities that will be provided by the consultant. In reviewing the supplemental attachment, the Company failed to explain all of services that will be provided by the consultant and neglected to explain or identify the components that were used to calculate how the **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** Therefore, we recommend removing **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END**

CONFIDENTIAL INFORMATION in 2027 and 2028 associated with **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** For **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION,** the Company estimates to spend **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** In response to DPS-877, the Company states its plan to use outside vendors/contractors to complete project and that Company personnel will lead internal project management. However, the Company also stated it plans to utilize an outside vendor who will provide project management and procurement services to complete this project. Therefore, it would be **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** when the Company plans to use external resources to manage construction and procurement activities. Furthermore, the Company neglected to explain how the estimate for labor cost was calculated. Therefore, we recommend removing **BEGIN**

CONFIDENTIAL INFORMATION< [redacted] **>END CONFIDENTIAL INFORMATION.**

Q. What overall adjustments is the Panel recommending for the Transportation Garage Modernization project?

A. We recommend a total adjustment of $5.000 million in 2026, **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION,** which results in recommended capital expenditures of $0.000 million in 2026, $2.371 million in 2027 and $2.124 million in 2028.

LIQUID FUEL STATION REPLACEMENT

Q. What is the Company's Liquid Fuel Station Replacement program?

A. Exhibit___(SSP-4), page 106, states that this program seeks to replace aging liquid fueling stations that the Company uses to refuel its vehicles. The Company operates and maintains twelve fueling stations that are experiencing increased maintenance costs due to equipment degradation and failures. Under this program, the Company seeks to replace the following

stations: (1) Astoria; (2) Van Nest; (3)Third Ave; and (4) E 16th Street.

Q. What is the Company's capital expenditure proposal for Liquid Fuel Station Replacement program?

A. The Company proposes capital expenditures of $5.000 million in 2026, $5.000 million in 2027, and $5.000 million in 2028.

Q. How did the Company develop those budgets?

A. According to Exhibit___(SSP-4), on page 108, the budget for this program was based on an actual estimate provided in 2024 for the Neptune Ave Fuel Station replacement and applies estimated inflation coupled with site-specific conditions for each fueling station.

Q. Do you agree with the Company's methodology for determining the budget request for its Liquid Fuel Station Replacement program?

A. No, we do not. We recommend removing all funding for 2027 which is associated with proposed replacement of the Van Nest station. Additionally, we will not review the funding request associated with E 16th Street station as it falls outside of our scope of review.

Q. Why does the Panel recommend removing all funding in 2027?

A. In response to DPS-638, the Company provided a third-party report that evaluates, and highlights issues associated with each of the Company-owned fueling station. Based on the report, the Third Avenue fueling station is at risk for failure due to the **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** The report explained that the **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** and stated that **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** The report pointed out that **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** past its acceptable useful life of 30 years. However, the report states that the Van Nest station does not pose any safety hazard regarding the **BEGIN**

CONFIDENTIAL INFORMATION< [redacted] **>END CONFIDENTIAL INFORMATION.** Therefore, we are removing the funding requested for 2027, which is associated with the proposed Van Nest fueling station replacement, as the report states its **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.**

Q. What overall adjustments do the Panel recommend for the Liquid Fuel Station Replacement program?

A. We recommend a total adjustment of $0.000 million in 2026, $5.000 million in 2027 and $0.000 million in 2028, which results in recommended capital expenditures of $5.000 million in 2026, $0.000 million in 2027 and $5.000 million in 2028.

STOREROOM SPACE OPTIMIZATION

Q. What is the Company's proposed Storeroom Space Optimization project?

A. As described in the Company's Exhibit___(SSP-4), on page 115, the Storeroom Space Optimization

project would optimize existing warehouse and storerooms to gain efficiencies and maximize storage capacity. Specifically, the Company would examine the internal layouts and configuration of existing warehouse and storerooms for redesign, modernizing technologies, and perform limited security upgrades.

Q. What is the Company's capital expenditure proposal for the Storeroom Space Optimization project?

A. The Company proposes to spend $45.750 million in 2026, $45.090 million in 2027, and $32.460 million in 2028.

Q. How did the Company develop those budgets?

A. According to the Company's response to DPS-935, it developed these budgets based on the total predicted cost for Astoria and Regional Warehouses spread out across four years. The Astoria cost was based on estimates for the following subprojects: **BEGIN CONFIDENTIAL INFORMATION<** [redacted]

[redacted]**>END CONFIDENTIAL INFORMATION.** This value was rounded to a total project cost of $125.000 million in the Company's Exhibit___(SSP-4).

Q. What adjustment does the Panel recommend for the Storeroom Space Optimization project?

A. Upon the Panel review of DPS-935, it was found that the Company provided a fairly complete budget for the Astoria Warehouse but did not do so for the additional warehouse locations of **BEGIN CONFIDENTIAL INFORMATION<** [redacted]

[redacted] **>END CONFIDENTIAL INFORMATION.** All warehouses other than the Astoria Warehouse equate to a **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** of the Company's proposed total budget. Given this project is a new type of project for the Company and that the Company did not provide support or a breakdown of the costs for the projects **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** warehouse locations, we recommend removing these locations' costs and re-evaluating them at a later time.

Q. Does the Panel have any recommended adjustments to the Astoria Warehouse's proposed budget?

A. Yes. The Company provided a complete breakdown of costs for the Astoria Warehouse in its response to DPS-935, Attachment 1. The Panel recommends adjusting the **BEGIN CONFIDENTIAL INFORMATION<** [redacted]

[redacted]**>END CONFIDENTIAL INFORMATION**, provided in Attachment 3 of the response to DPS-935, for installation, removal, and contract labor. This **BEGIN CONFIDENTIAL INFORMATION<**[redacted]**>END CONFIDENTIAL INFORMATION** is already listed as part of the estimate and should be removed because it is duplicative. We also recommend two other adjustments to **BEGIN CONFIDENTIAL INFORMATION<**[redacted]**>END CONFIDENTIAL INFORMATION** that the Company did not support and thus should be removed. Second, the **BEGIN CONFIDENTIAL INFORMATION<**[redacted]**>END CONFIDENTIAL INFORMATION.** However, the Company provided no support for this cost and, thus, we recommend the Commission reject it in its entirety. This reduces the total **BEGIN CONFIDENTIAL INFORMATION<**[redacted]**>END CONFIDENTIAL INFORMATION.** For the **BEGIN**

CONFIDENTIAL INFORMATION< [redacted] **>END CONFIDENTIAL INFORMATION,** the Company provided support for the total subproject estimate of **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** in Attachment 6 of its response to DPS-935. The Company then proposed adding a price adjustment to the subproject estimate. As the Company applied a contingency factor to the overall sum of these subprojects, it would be inappropriate to allow additional contingencies on each subproject. For the **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION,** the Company provided no support for the cost and, thus, we recommend removing these subprojects in their entirety. For **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION,** we recommend two separate adjustments. First, the Company did not support any costs associated with the **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END**

CONFIDENTIAL INFORMATION. The Company tried to justify this cost saying it was to be based on historical actuals. However, no support for these historical actual values were provided. Second, the Company assumed the **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION.** As several of the subproject costs were adjusted, the cost for **BEGIN CONFIDENTIAL INFORMATION<** [redacted] **>END CONFIDENTIAL INFORMATION** subproject was reduced to $22.019 million. These two adjustments result in a total Other Costs cost of $22.019 million.

Q. What is the total subtotal the Panel recommends for the Astoria Project as a result of these adjustments?

A. Our recommended adjustments result in a subtotal of $58.716 million. The Company proposed a 40 percent contingency, which, as a new type of project that may have unforeseen issues and costs, the Panel agrees to. This results in a

total Astoria Project Cost of $82.203 million. This is less than the Company's originally proposed $125.547 million per Attachment 1 of DPS-935 or the stated $125.000 million in Exhibit___(SSP-4). The Panel took the total cost of $82.203 million and allocated from 2026 to 2028 using the same allocation proportions the Company provided as a part of Exhibit__(SSP-4). Applying this methodology the Panel recommends downward capital adjustments of $15.664 million in 2026, $15.438 million in 2028, and $11.114 million in 2028. This represents a recommended total funding level of $30.086 million in 2026, $29.652 million in 2027, and $21.346 million in 2028.

WORKER SAFETY – HEAT MITIGATION PROGRAM

Q. What is the Company's proposed Worker Safety - Heat Mitigation Program?

A. As described in the Company's Exhibit___(SSP-4), on page 175, the Worker Safety - Heat Mitigation Program is to address the upcoming challenges identified by Con Edison's 2023 Climate Change Vulnerability Study, including the increase to temperatures that have the potential to produce

intense heat weaves. This program would entail the development and incorporation of heat illness mitigation technologies for Company personnel.

Q. What is the Company's capital expenditure proposal for the Worker Safety - Heat Mitigation Program?

A. The Company proposes to spend $0.275 million in 2026, $0.275 million in 2027, and $0.250 million in 2028.

Q. How did the Company develop those budgets?

A. According to the Company's response to DPS-647 and DPS-910, it developed these budgets based on an Equipment Cost of $0.070 million in 2026, $0.070 million in 2027, and $0.070 million in 2028; a Program Support Cost of $0.180 million in 2026, $0.180 million in 2027, and $0.130 million in 2028; and EPRI Analysis Cost of $0.025 million in 2026 and $0.025 million in 2027. The equipment cost was calculated by multiplying the number of required units by the unit cost for Reflective Hard Hats, Cooling Tent Design 1, Cooling Tent Design 2, Ventilation System 1, Ventilation System 2, and then summing

up the total cost to spread over a five-year period. The Program Support cost was to reflect 1.5 FTEs who were not previously requested. The EPRI Analysis is a standard permitting cost.

Q. What adjustment does the Panel recommend for the Worker Safety - Heat Mitigation Program?

A. The Panel reviewed the Company's response to DPS-910, which stated that the Program Support cost of $0.180 million in 2026, $0.180 million in 2027, and $130,000 in 2028 were to support 1.5 FTEs. These FTEs were not supported in the Company's scope of work, thus, we recommend the Commission deny the request. Therefore, we recommend a total adjustment of $0.180 million in 2026, which results in a recommended O&M cost of $0.095 million in 2026.

QUALITY MANAGEMENT SYSTEM

Q. What is the purpose of the Quality Management System (QMS)?

A. On page 180 of Exhibit___(SSP-4), Con Edison states that the QMS is needed to further integrate systemic quality into its business operations and further its commitment to quality and operational excellence. It further explains

that the QMS builds on the successful establishment of the Quality Center of Excellence (QCoE), which serves as a centralized hub dedicated to promoting quality management best practices and driving continuous improvement.

Q. Did the Company quantify any financial benefits?

A. No, the Company speaks to the QMS optimizing operational performance by removing inefficiencies and enhancing risk controls but does not attempt to quantify any financial benefits that would directly benefit ratepayers.

Q. What is the Company proposing regarding this program?

A. The Company proposes to hire a dedicated FTE, a Specialist, to support implementation and ongoing maintenance of the QMS. The Company also relies on consultants providing expertise and support as well as IT operations support.

Q. What is the Panel’s recommendation?

A. We recommend removing the requested FTE, and this adjustment was provided to the Staff Accounting Panel which has reflected the adjustment. The Company did not provide

financial benefits ratepayers would reap from this program, nor details as to why an incremental FTE would be required. In fact, despite the request for the FTE, the Company describes the need for consultants and IT operations assistance. Given the need for affordability, the lack of stated financial benefits, and the other assistance this program already requires, the requested incremental FTE is unjustified.

STORES OPERATION O&M CHANGE

Q. What is the Company's proposed Stores Operations O&M Program Change project?

A. As described in the Company's Exhibit___(SSP-4), on page 213, the Stores Operations O&M Program Change is the investment to ensure adequate staffing for the Astoria Distribution Center, existing Regional Storeroom locations, and two new storeroom locations from 2025 to 2028. There are currently 18 storeroom locations with the two new locations planned for Yonkers and Manhattan. The Company is proposing to add 37 FTEs to meet current staffing needs.

Q. What is the Company's proposed O&M funding for

the Stores Operations O&M Program?

A. Based on page 217 in Exhibit___(SSP-4), the Company proposes a total expense of $5.590 million in 2026, which is an incremental increase of $1.834 million compared to the HTY. However, Exhibit___(SSP-2) shows the 37 FTEs with no O&M program change requested under the project "Supply Chain Stores Clearing Allocated O&M – (37 FTEs)", which references Exhibit___(SSP-4), page 213. The Company filed updated testimony and exhibits in the April update regarding this program. On page 11, under "Stores Operations", the update testimony of the Shared Services Panel, the Company states it reduced its incremental O&M funding by $1.834 million in 2026, that the Company is no longer requesting incremental O&M funding to support this program, but that this change does not affect any of the proposed FTEs. Additionally, the Company provided Exhibit___(SSP-4-UpD), page 36, which shows no historical or requested capital expenditures or O&M spend, and further states that incremental O&M dollars are no longer being requested because cost impact of

additional FTE's is associated with anticipated capital projects.

Q. How did the Company develop those budgets?

A. It is not overly clear how the Company developed the budgets, nor why the testimony and exhibits seem to jump back and forth between O&M and capital costs. We requested that the Company explain and provide support for the proposed spending levels in Exhibit___(SSP-4) as a part of DPS-715. However, the Company's response to DPS-715 failed to adequately explain or support how the Company developed these budgets, but did further verify that the Company already hired 10 of the 12 proposed FTEs in 2025 and plans to hire the other two by September 2025.

Q. What adjustment does the Panel recommend for the Stores Operations O&M Program Change project?

A. Based on the lack of justification and clarity, affordability concerns, and the related decreases to capital expenditures recommended by Staff, we recommend the Commission allow the 12 FTEs that will already be hired in 2025, but not allow the additional 15 to be hired in 2026. The 12 additional FTEs hired will provide the

Company with additional Staffing that will be adequate for its needs given the reduced scope of capital expenditures overall, and the recommended capital expenditures for modernizing the stores room facilities that will increase efficiency. The adjustment of 15 FTEs at a salary of $0.094 million was provided to the Staff Depreciation Panel to include as a reduction in 2026, 2027 and 2028 capital expenditures.

CLEAN ENERGY COLLABORATION SPACE

Q. What is the Company's proposed Clean Energy Collaboration Space project?

A. As described in the Company's Exhibit___(SSP-4), on page 110, the Con Edison Clean Energy Collaboration Space would provide a public venue for education, engagement, and workforce development on clean energy located at 4 Irving Place. The 15,000-square-foot space would accommodate 150–200 people, with operations and maintenance needs that would be developed for day-to-day activities.

Q. What is the Company's capital expenditure proposal for the Clean Energy Collaboration

Space?

A. As shown on page 114 of Exhibit___(SSP-4), the Company proposes capital expenditures of $3.000 million in the 2026, $10.000 million in 2027, and $2.000 million in 2028, for a total of $15.000 million.

Q. What does the Panel recommend regarding the Clean Energy Collaboration project?

A. We recommend that the Commission not approve the Clean Energy Collaboration Project.

Q. What is the Panel's justification for its recommendation?

A. The Company fails to sufficiently justify the project's necessity or provide a benefit-cost analysis comparing it to alternatives. In response to DPS-636, the Company cites similar events held at alternative venues, noting accessibility challenges and increased security needs as obstacles to hosting stakeholder events. However, the Company has not provided any financial assessment as to whether the current costs of these challenges exceed the proposed investment in this project.

Q. Does any other Staff panel provide a

recommendation regarding the Clean Energy Collaboration Space project?

A. Yes, the Staff Markets and Innovations Panel also recommends eliminating this program, stating that the Company does not identify financial benefits related to an investment in this project, nor any major risks associated with canceling the planned investment.

THIRD PARTY RISK MANAGEMENT

Q. What is the Company's Third-Party Risk Management program?

A. Exhibit___(SSP-4) on page 41, explains that the Third-Party Risk Management program (TPRM) was established in 2023, and the goal of this program is to recognize and manage the risks associated with the Company's suppliers and vendors. The Company conducts ongoing risk monitoring and reassessment for existing suppliers across potential risk domains such as information security, environmental, health and safety.

Q. What is the Company's proposed capital expenditure for the TPRM program?

A. The Company did not propose any capital

expenditures for this program.

Q. What is the Company's proposed O&M expense for the TPRM program?

A. The Company proposes O&M expense of $3.125 million per year for 2026.

Q. How did the Company develop the O&M expense budget?

A. Exhibit___(SSP-4), page 122, explains the Company developed the budget based on estimates provided by existing vendors whose services are used in the TPRM program. The budget is comprised of $1.625 million for labor costs and $1.500 million of program related costs.

Q. Does the panel have any adjustment for this program?

A. Yes, we recommend removing $0.500 million from program related costs from the O&M expense for 2026. In response to DPS-620, the Company provided an O&M expense forecast which includes an itemized list showing forecasted expenses associated with each line item. We recommend removing the Company's proposed expenses associated with the following line items: (1) Third Party Risk Assessment Automation; (2) TPRM

Governance Committee; (3) TPRM Social Media Listening Services; (4) Issues Management and Observations Integrations; and (5) KYP3P/WTW. The Company intends to use expenses associated with line items one, two and four to automate the risk management process since the current process requires manual entries into three separate databases. We understand the Company's intention to streamline the risk management process, but the Company has neglected to provide information on how the current process is completed and failed to adequately support the need for implementing the automation other than stating that the current process requires manual entries in three separate databases. As such, we also recommend removing the expenses associated with line items three and five since these expenses did not exist in the 2021 to 2023 historical O&M expenses for this program and the Company did not explain how these line items were calculated.

BIODIVERSITY PROGRAM

Q. What is the Company's proposed Biodiversity for Reliability, Community, and Ecological Value

(Biodiversity) program?

A. On pages 164-165 of Exhibit___(SSP-4), the Company explains that the Biodiversity program is intended to enhance sustainability and climate resilience by expanding green infrastructure and native vegetation across various company properties. Green infrastructure consists of systems designed to absorb rainwater, reduce runoff, support biodiversity, and protect waterways from pollution. Examples include rewilded spaces, green roofs, bioswales, natural retention ponds, and permeable pavements.

Q. What is the Company's capital expenditure proposal for the Biodiversity program?

A. As shown on page 169 of Exhibit___(SSP-4), the Company proposes capital costs of $1.600 million each for 2026, 2027 and 2028.

Q. What are the Company's operations and maintenance costs for the Biodiversity program?

A. As shown on page 1 of Exhibit___(SSP-2-UpD), the Company proposes O&M expense of $0.050 million in 2026, $0.100 million in 2027, and $0.150 million in 2028.

Q. What does the Panel recommend regarding the Biodiversity program?

A. We recommend eliminating the biodiversity program in its entirety.

Q. Describe the Panel's justification for its recommendation.

A. We recommend eliminating this program because the Company did not provide a comprehensive benefit-cost analysis compared to traditional contractor lawn mowing services. In response to DPS-637, the Company states that an estimated cost avoidance of $49,500 can be realized in one year, which is lower than the capital and O&M funding requested for each of 2026, 2027 and 2028. Additionally, the Company white paper lacks a break-even analysis to assess the program's long-term financial feasibility. Therefore, we recommend that the Commission reject the biodiversity program, as the Company has not demonstrated that the program offers adequate value for ratepayers.

Q. Does any other Staff panel provide a recommendation regarding the Biodiversity Project?

A. Yes, the Staff Markets and Innovations Panel recommends eliminating the biodiversity program, stating that the Company has not demonstrated that the financial benefits of the Biodiversity Project would outweigh its costs in either the short or long term.

HUMAN RESOURCE ORGANIZATION POSITION ADDITIONS

Q. What did the Company request for the Human Resources Organization Position Additions?

A. As shown on pages 186 to 191 of Exhibit___(SSP-4), the Company requested funding for 13 Human Resources (HR) FTE positions, including three new positions and 10 existing positions. The three incremental requested FTEs are one Department Manager, one Specialist that is a registered dietitian, and one Department Assistant.

Q. What O&M costs for the Human Resources Organization Position Additions does the Company request?

A. As shown on page 1 of Exhibit___(SSP-2-UpD), the O&M costs for a total of 13 human resources FTES are $1.891 million in 2026 and an additional $0.014 million in 2027.

Q. Does the Panel agree with the Company's request to hire three HR FTEs in 2026?

A. Partially. We recommend that two of the three FTEs requested by the Company be approved. The two positions are one Department Manager and one Department Assistant. We do not recommend that the Specialist – registered dietitian position be approved.

Q. What is the basis for the Panel's recommendation?

A. On page 188 of Exhibit___(SSP-4), the Company outlines the job duties of the requested Specialist-registered dietitian position. This FTE would provide individualized and group nutrition counseling, health education, and meal planning guidance to employees and their dependents, with a focus on improving dietary habits, supporting disease management, and optimizing workplace nutrition options. We recognize that the proposed position may be beneficial to employee health and well-being, but the Company did not show that it directly enhances services provided to ratepayers. We do not believe this position provides quantifiable

or demonstrable benefits to ratepayers in terms of financial impact, service reliability, environmental considerations, or customer service improvements. Accordingly, we recommend the Commission reject the requested Specialist for the Registered Dietitian position.

Leadership Development Program Expansion

Q. What is Con Edison's Leadership Development Program Expansion?

A. The Company's Leadership Development Program, as fully described on page 204 of Exhibit___(SSP-4), is a long-standing early-career, rotational, leadership development program that introduces recent college graduates to the clean energy industry in an environment. The purpose of this program is to expand the Company's leadership development program by increasing the cohort size by 5 Management Associate FTEs. The requested incremental funding in 2026 for these FTEs, based on Exhibit___(SSP-2), is $0.311 million.

Q. What do you recommend regarding the request for 5 incremental FTEs?

A. We recommend cutting four of the five requested

incremental FTEs. Additionally, Staff is recommending cutting a significant number of the Company's FTE request, and thus, the Company should be able to continue to run the program without significant expansion of the program at this time. We do recommend allowing one FTE, because there will likely still be a small uptick in hiring, and continuing to develop strong leadership will produce future benefits for ratepayers. The one allowed FTE is approximately proportional to the additional leadership needed for the expanded staffing being recommended in this case.

OFFICE OF DIVERSITY AND INCLUSION FTEs

Q. Explain the Company's incremental FTEs request for Office of Diversity and Inclusion FTEs.

A. The Company requests three incremental FTEs within its Office of Diversity and Inclusion (ODI). These positions are one Senior Specialist, one Associate in the Office of Employee Engagement, and one Senior Specialist – Reasonable Accommodations Coordinator.

Q. What are the Company's operations and maintenance costs for incremental FTEs in the

Office of Diversity and Inclusion?

A. In response to DPS-1011, the Company stated that the three requested incremental positions require $0.311 million in 2026 and an additional $0.049 million for 2027 for a total of $0.360 million.

Q. Does the Panel agree with the Company's request to hire three ODI FTEs?

A. No. We do not agree with the Company's request to hire three incremental FTEs for the Office of Diversity and Inclusion.

Q. What is the Panel's recommendation for hiring incremental FTEs for the Office of Diversity and Inclusion?

A. Of the three FTEs requested by the Company, we recommend approval of one FTE as Senior Specialist - Reasonable Accommodations Coordinator.

Q. What is the basis for the Panel's recommendation?

A. In response to DPS-1011, the Company stated that it is required to hire a Reasonable Accommodations Coordinator (RAC) as part of the American with Disabilities Act (ADA)

conciliation agreement. The RAC position will primarily address disability accommodation needs and requests for the hiring process in the Company. We agree and recommend that this incremental FTE position be approved with the Company's justification. The Company also outlines the general job duties of the two other requested FTEs, citing an increased volume of complaints, expansion of training programs, on-site visits and assessments, and executive engagement as the primary drivers for additional staffing. However, the Company also indicates that many of the responsibilities of the two proposed incremental FTEs are currently managed by the existing team within the Office of Diversity and Inclusion (ODI). The Company has not otherwise quantified the increased workload for this group and has not demonstrated why the workload necessitates two additional FTEs. Therefore, we recommend approval of only one of the three requested FTEs for the Office of Diversity and Inclusion.

STORES OPERATIONS O&M PROGRAM CHANGE

Q. What is the Stores Operations O&M Program

Change?

A. The intent of the program, which according to Exhibit___(SSP-4) has had between $2.592 million and $3.485 million in O&M expense per year between 2020 and 2023, is to ensure adequate staffing at the Astoria Distribution Center and other existing and new storeroom locations. The Company proposed to hire 37 FTEs under this program and increase the O&M expense to $5.590 million in 2026 from the HTY expense of $$3.756 million.

Q. Did the Company provide an update to this program in the April update?

A. Yes, while the Company still plans to hire 37 incremental FTEs between 2025 and 2028 as shown on Exhibit___(SSP-4-UpD), page 32, the program now shows no incremental O&M expense increase as shown on page 36 of Exhibit___(SSP-4-UpD), and notes that the increased O&M expense is no longer being requested because the cost impact of additional FTEs is associated with anticipated capital costs.

Q. Do you have any adjustments to the Stores Operations O&M Program Change?

A. Yes, due to affordability concerns and the scaled down nature of capital expenditures recommended by Staff in this case, we are recommending cuts to the incremental FTE request under this category. We recommend allowing for the 12 FTEs the Company has or will hire in 2025, but cutting the remaining 25 FTEs, which is split 15 in 2026, 5 in 2027 and 5 in 2028. The associated salaries are $0.094 million in 2026, $0.125 million in 2027, and $0.125 million in 2028, which results in an adjustment of $1.410 million in 2026, $2.035 million in 2027 and $2.660 million in 2028.

Q. Where is this adjustment being made?

A. Given the Company in the April update removed this incremental expense request from O&M, Staff is providing this as a capital adjustment to the Staff Depreciation Panel to incorporate in the net plant model.

PROCUREMENT O&M PROGRAM CHANGE

Q. Explain the Company's request for the Procurement O&M Program Change.

A. As shown on pages 218-219 of Exhibit___(SSP-4), the Company requests seven incremental

Procurement Specialists (FTEs) for 2026 and an additional 10 FTEs for 2028.

Q. What are the Company's operations and maintenance costs for the Procurement O&M in 2026, an additional $0.242 million in 2027, and an additional $0.805 million in 2028.

Q. Does the Panel agree with the Company's request to hire seven procurement specialists in 2026?

A. No. We agree with the Company's proposal to add some FTEs; however, we recommend four incremental procurement specialists for Rate Year 1.

Q. What is the basis for the Panel's recommendation?

A. On pages 218-222 of Exhibit___(SSP-4) and in the redacted (public) response to DPS-1012, the Company outlines the general job duties and placement of the seven proposed FTEs. Of these, three are allocated to the direct and indirect procurement group, another three to the category management group, and one to the corporate and social responsibility group. We agree that increased contract spending necessitates additional employees in the direct and indirect

procurement group, but the Company's projected workload does not support the need for four additional FTEs in the category management and corporate and social responsibility groups. Furthermore, the Company states that it currently employs two FTEs in the category management team. The Company's request would increase the headcount of this group by 150 percent. Therefore, we recommend approving three incremental FTEs in the procurement group and one additional FTE in the category management group, for a total of four incremental FTEs in 2026.

EH&S ORGANIZATION POSITION ADDITIONS

Q. Explain the Company's request for incremental FTEs for the EH&S Organization Position Additions?

A. As shown on pages 225 to 227 of Exhibit___(SSP-4), the Company requests 44 FTEs in five departments/groups in Environmental, Health and Safety (EH&S). The Company proposes hiring 11 FTEs in the EH&S Environment & Sustainability department, 14 FTEs in the EH&S Health & Safety department, 14 FTEs in the EH&S Operations

Support department, four FTEs in the EH&S Programs Management department, and one FTE in the EH &S Office of the VP. Of the total 44 FTEs, the Company requests 35 FTEs in 2026, five FTEs in 2027, and an additional four FTEs in 2028.

Q. What are the Company's operations and maintenance costs for incremental FTEs in EH&S?

A. As shown on page 1 of Exhibit___(SSP-2-UpD), the Company requests $3.410 million in 2026, $1.762 million in 2027, and an additional $0.546 million in 2028 for the 44 incremental FTEs in EH&S.

Q. Please explain how the Panel will discuss its recommendations for EH&S.

A. We will discuss the FTE requested by the Company in each department within EH&S and provide our recommendations for each department.

Q. Please explain the Company's request for 11 FTEs in EH&S Environment & Sustainability department.

A. As shown on pages 226 to 231 of Exhibit___(SSP-4), the Company requests to hire 10 of the proposed 11 FTEs in 2026 and one FTE in 2027. These positions support the company's

environmental and sustainability initiatives, focusing on regulatory compliance, laboratory operations, and long-term strategic planning. The proposed FTEs include three Scientists specializing in water, air resources, PCB, and emerging contaminants, along with three Union Production Technicians to provide chemical laboratory support. Additionally, the request includes two Clerical Assistants to centralize non-hazardous waste record management within the Environmental Management Information System (EMIS)/Maximo database, and a senior specialist in Rate Year 2 to oversee asbestos remediation efforts. For sustainability initiatives, the Company requests approval for one project specialist to manage the Envision program, supporting the design and implementation of sustainable projects, and another project specialist to lead greenhouse gas (GHG) strategy management, ensuring alignment with climate targets and regulatory mandates.

Q. Does the Panel agree with the company's proposal for 11 FTEs in EH&S Environment & Sustainability department?

A. We agree with 10 of the 11 proposed incremental FTEs.

Q. What is the Panel's rationale for this recommendation?

A. In the whitepaper provided in Exhibit___(SSP-4), the Company outlines the general job duties of the requested FTEs and explains the need for additional staffing to support expanded environmental and sustainability initiatives driven by regulatory requirements, operational demands, and efficiency improvements. We agree with the justification for 10 of the 11 proposed FTEs. The Company states that one Project Specialist for Sustainability Integration will support several activities and programs included in the rate case, such as Ecological Build Oysters, Ecological Build Tree Canopies, Biodiversity for Resilience, Reliability, and Community and Ecological Value, and Living Shoreline. However, this Panel and the Staff Market and Innovation Panel do not support the inclusion of these programs and projects. Accordingly, we do not recommend that the requested Project Specialist FTE for supporting

these programs be approved by the Commission.

Q. Please explain the Company's request for 14 FTEs in EH&S for Health & Safety department.

A. The Company requests a total of 14 incremental Full-Time Equivalents (FTEs) in EH&S for Health & Safety department. This request includes two Project Specialists, four Specialists, and two Senior Specialists for 2026. For 2027, the Company requests one Project Specialist and two Senior Specialists and followed by one additional Project Specialist and two Senior Specialists in 2027.

Q. Does the Panel agree with the Company's requested FTEs for EH&S Health & Safety department in 2026?

A. No. We do not agree with the proposal to hire eight FTEs in EH&S Health and Safety and recommend that seven of the eight requested FTEs be approved.

Q. Please provide the rationale for the Panel's recommendation.

A. In its publicly available response to DPS-913, the Company provides its placement plans for the 14 FTEs requested and outlines the general job

duties for three sections: Safety and Data Analytics, Safety, and Industrial Hygiene. The Company's response to DPS-913 and the whitepaper provided in Exhibit___(SSP-4) discusses the additional work that the Health and Safety Department will perform, but it fails to explain how the Company derived the number of incremental employees requested for this group. Moreover, the Company does not provide individual job duties for the requested positions, leaving the responsibilities of several roles in the department unclear. The Company asserts that additional employees are essential to proactively manage safety and health risks, enhance regulatory compliance, and address evolving operational challenges by leveraging data and industry best practices. While we acknowledge the need for additional headcount, we do not agree that the justification adequately demonstrates the necessity for the number of FTEs requested. Given these facts, we recommend that seven of the eight requested FTEs be approved and one senior specialist role in 2026 be removed.

Q. Explain the Company's request for 14 incremental FTEs in EH&S Operations Support.

A. The Company requests a total of 14 incremental FTEs for four business units within EH&S Operations Support. In 2026, the request includes one Manager and three Senior specialists in Shared Services, six Senior Specialists in Central Operations to support several CLCPA projects, one Senior Specialist in Customer Operations and one Senior Specialist in Electric Operations. In addition, the Company requests one Senior Specialist in 2027 and an additional Senior Specialist in 2028 for continuous support for the CLCPA projects.

Q. Does the Panel agree with the Company's request for additional FTEs in EH&S Operations Support?

A. Yes, we agree with the company's request for 14 additional FTEs within EH&S Operations Support.

Q. Provide and briefly explain the Panel's recommendation for the 14 additional FTEs within EH&S Operations Support.

A. In its whitepaper provided on pages 225 to 241 in Exhibit___(SSP-4) and in response to DPS-913, the Company explains that the growing workload

for several CLCPA projects and maintaining safety and regulatory compliance necessitates the additional 14 FTEs requested in EH&S Operations Support. We agree and recommend that the FTEs requested by the Company in this section be approved.

Q. Explain the Company's request for four incremental FTEs in EH&S Programs Management.

A. The Company requests four incremental FTEs in EH&S Programs Management. The request includes one Senior Specialist and one Section Manager in EH&S data analytics team. In addition, the Company requests one Senior Specialist and one Manager for training and procedure management.

Q. Does the Panel agree with the incremental FTEs requested for the EH&S Programs Management?

A. No. We do not agree with the four FTEs requested for this department. We recommend that two FTEs be approved at this time.

Q. Discuss the basis of the Panel's recommendation.

A. On pages 237 to 238 of Exhibit___(SSP-4), the Company states that a large number of employees currently engage in data analysis in some capacity. To combat inconsistencies in

reporting and redundancies in efforts, the Company proposes two positions to help enhance consistency and streamline data management and access. The Company's whitepaper shows that the two proposed positions share responsibilities for these streamlining efforts. While we acknowledge that the Company justifies the need for consistency in data reporting and monitoring, the Company provided no justification demonstrating the need for two FTEs to accomplish the task. Similarly, while the Company requests two positions with shared responsibilities to provide management support for various safety training programs, the Company did not provide how the additional workload justifies two positions for training and procedure management. We recommend that a total of two FTEs be approved for this department—one Senior Specialist for the EH&S data analytics team and one Senior Specialist for the training and procedure management team.

Q. Explain the Company’s request for FTE in the EH&S Office of the Vice President.

A. The Company requests one Manager to oversee the

Environmental Justice function in the EH&S Office of the Vice President in 2026. The Company states that this position is needed to effectuate proper program management.

Q. Does the Panel agree with the Company's requested position in the EH&S Office of the Vice President?

A. No. We do not agree with the requested FTE in the EH&S Office of the Vice President and recommend that the position not be approved.

Q. Please explain your rationale for this recommendation.

A. The Company discusses its commitment to environmental justice, its annual DAC reporting requirements, and the need for management across various internal departments as the primary reasons for the requested position. However, there are several reasons why we do not agree with the Company's justification. To date, the Company has tracked and monitored how its operations affect disadvantaged communities and has met its submission requirements for the annual DAC report in accordance with the 2023 Rate Plan issued in Cases 22-E-0064 and 22-G-

0065. The Company does not identify any quantifiable benefits to ratepayers with the addition of this position. Additionally, on page 140 of Exhibit___(SSP-4), the Company estimates that one internal FTE resource (manager) would be required for the strategic program titled "Disadvantaged Communities Environmental Justice Program." The Staff Markets and Innovation Panel recommends removing the project. Given these facts, we recommend that the FTE manager requested in the EH&S Office of the Vice President not be approved by the Commission.

STRATEGIC PLANNING – LONG RANGE PLANNING FTEs

Q. What is the purpose of the Strategic Planning – Long Range Planning FTEs program?

A. The purpose of the Strategic Long Range Planning program supports and provides insight that Con Edison claims is needed to plan for future needs and demands of the Company. The Company is essentially stating that due to the impacts of climate change and extreme weather, and the urgency of the transition to electrification and renewables and the management of energy rates,

Con Edison needs more staffing to support these issues.

Q. What does the Company propose?

A. The Company proposes to hire five incremental FTEs, which would consist of two for sustainability strategy, one for utility business strategy initiatives and two for electric long-range planning at an incremental cost of $0.645 million in 2026.

Q. What does the Panel recommend regarding the Company's proposed incremental FTEs?

A. We propose to cut two of the requested five FTEs. Our rationale is that both New York City and New York State have many goals including energy efficiency, lowering emissions, and electrification. We support the Company's commitment to meeting those goals, and often, working to exceed those goals, and recommend allowing three incremental employees to support long range strategic planning. That said, we recommend cutting two of the positions given Staff's lower capital expenditure recommendations, which will decrease some of immediate workload and need for planning and

appropriately proportion costs to these lower capital expenditures.

OTHER O&M ONLY PROGRAM REQUESTS

Q. Did the Company propose any new O&M program changes in its April update?

A. Yes, the Company proposed incremental funding of $8.235M in 2026, compared to HTY expenses of $8.641M, for new janitorial services as a result of new contracts recently re-bid through a competitive procurement process. According to page 4 of the update testimony of the Shared Services Panel, the prior contracts expired in March 2025. The main drivers of the increase in the new contracts are related to wage inflation and service cost increases since 2019 when the prior contracts were established, and unionization at some locations.

Q. Did the Company explain why the funding request was not included in the Company's January 2025 filing?

A. Partially. The Company explains that the re-bid process was "on-going", and the Company had not yet determined the impact of the increases.

Q. Did the Company provide any detailed information

regarding the new contracts and increase in expense?

A. Not really. The Company states on page 5 of the update testimony of the Shared Services Panel that the whitepaper in Exhibit___(SSP-5) provides the details. However, the whitepaper mostly just describes, again, the function of janitorial services and that the increase is due to the re-bid of the contract services. In the basis for estimate section, on page 2 of Exhibit___(SSP-5), it simply states that the new rates were applied to the test year spend based on the new contract. The Company fails to explain how many bids were received, the evaluation of the bids, any changes to scope of work for the janitorial services or number of staff. This is problematic given the significant increase of approximately 95 percent in funding requested. For comparison, Staff's calculation of total inflation over the period the contract was supposedly in place, from March 2019 to March 2025, is approximately 22.6 percent. This is dwarfed by the Company request, which lacks any further support for

such an increase.

Q. What is your recommendation for the janitorial services request?

A. Our recommendation is to reject the incremental increase of $8.235 million given the lack of support provided by the Company. The Company did not provide any information on changes to the contract services or scope of work, changes to needing staffing levels or contract rates. It simply states it was a competitive process and that wage growth, service cost increases and unionization played a role, without providing any detailed information on any of these reasons.

Q. Does this conclude your testimony at this time?

A. Yes.